

Axion — Renewable Energy Tax Research

Trigger 9 | APC 2026 September Qualifying Exam | Axion Digital Infrastructure (Pty) Ltd | Document 7, page 20

Organised by investment option, not by section of the Act. Document 7 puts four renewable options in front of the board. Each has its own part of this document, and each part is **complete on its own**. Legislation is deliberately repeated where it applies to more than one option, so that if the task on the day names a single option you can turn to one part and work only from it.

Left column, black — the legislation, paraphrased. **Right column** — [applied to Axion, in blue, with a worked number](#).

[\[WAITING FOR INPUT — information on the day\]](#) marks a fact the pre-release does not give. The law is still applied on an assumed figure, so on the day you substitute one number and the answer falls out.

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Rate card — verified rates for 2026/27

Item	Rate	Note
Corporate income tax	27%	Years ending on or after 31 March 2023. Unchanged in the February 2026 Budget
Dividends tax	20%	Unchanged
CGT inclusion rate — company	80%	Effective CGT rate 21.6%
VAT	15%	Standard rate
s12B — renewable plant	50 / 30 / 20	Over three years. Not apportioned
s12B — PV solar not exceeding 1MW	100%	Full write-off in year brought into use
s12BA — enhanced allowance	125%	EXPIRED. Brought into use before 1 March 2025 only
s12U — roads and fences	100%	In year incurred. Only where generation exceeds 5MW
s12L — energy efficiency	95c per kWh	Verified savings. Extended to 31 December 2030
s12C — manufacturing plant	40 / 20 / 20 / 20	Not relevant to Axion — Axion carries on no process of manufacture
s13quin — commercial buildings	5%	New and unused buildings and improvements
s20 — assessed loss set-off	Higher of R1m or 80%	Of taxable income

The four options, as Document 7 states them

Document 7, page 20, headed "Renewable electricity for future growth — options under consideration". These are the words of the pre-release, not a reorganisation of them.

Option	What Document 7 says	The tax question it raises
Part 1 Additional power purchase agreements	- Purchase renewable electricity from an independent producer. - May require limited upfront capital. - Price, volume and supply terms are agreed contractually. - Flexibility depends on the terms of the agreement.	Axion acquires no asset . Does any capital allowance arise, and if not, what deduction does Axion get instead?
Part 2 Direct investment in generation capacity	- Invest in a renewable energy project, potentially with an experienced technical partner. - Requires upfront capital and an appropriate funding structure. - Axion participates in the risks and returns of the project. - Greater involvement in construction, operations and governance.	Axion acquires an asset. Which allowance, at what rate, in whose hands, and in which year?
Part 3 Off-site generation and wheeling	Land and network constraints may limit generation at a data centre site. - Electricity is generated elsewhere and supplied through the electricity network. - Allocated at an agreed metering point. - Carries network and wheeling charges, transmission losses, curtailment, and electricity generated but not used.	Wheeling is a delivery mechanism, not an ownership structure. The allowance question follows Part 1 or Part 2 depending on who owns the plant; the wheeling costs are a separate deduction question.
Part 4 Long-term offtake agreements	- Greater revenue certainty for the project; the project may depend heavily on one customer. Pricing and escalation terms may apply for many years.	A contracting layer that sits over Part 1, 2 or 3. When is a multi-year commitment "actually incurred", and is electricity paid for but never used still deductible?

Option	What Document 7 says	The tax question it raises
	- Contracted revenues may support project debt. Purchase commitments may begin before the new facility is fully utilised.	

- Document 7 joins Parts 1 and 2 with the word "**OR**". They are presented as alternatives. Parts 3 and 4 are presented separately and can apply **with either** of them.
- Part 5** covers section 12L, which applies to Axion's existing facilities whichever option is chosen. **Part 6** covers the on-site solar Axion already has.

Assumed facts used in the worked examples

Every number below is invented. The pre-release gives no capacity, cost, price, volume or structure for any option. The same facts are used across all four parts so the options can be compared, and so that on the day you substitute the real figures into a computation you have already practised.

- Electricity requirement.** Axion needs **80 GWh a year** of renewable electricity for the new capacity, currently bought from the grid at **R1.30/kWh** — a grid cost of **R104m a year**.
- The project.** Solar PV, **30MW**. Plant and machinery **R450m**. Site roads and perimeter fencing **R25m**. Grid connection and transmission line **R60m**. Land **R15m**. Brought into use **1 May 2027**, i.e. in **FY2027** (year ending 30 June 2027).
- The PPA price.** **R1.10/kWh**, so **R88m a year** for the same 80 GWh.
- Wheeling costs.** Network and wheeling charges **R12m a year**; transmission losses **5%** of volume.
- Axion's tax position.** Taxable income before any of this, FY2027: **R350m**. Tax rate **27%**. Tax with no project: **R94.5m**.
- The existing asset.** On-site rooftop PV at Johannesburg 1, **800kW**, cost **R18m**, brought into use **1 October 2024**.

Part 1 — Additional power purchase agreements

What Document 7 says. “Purchase renewable electricity from an independent producer. May require limited upfront capital. Price, volume and supply terms are agreed contractually. Flexibility depends on the terms of the agreement.”

The tax shape of this option in one line. Axion buys electricity. It acquires **no asset**, so **no capital allowance of any kind arises** — and the only deduction is the cost of the electricity itself under s11(a), as it is incurred, for as long as the contract runs.

1.1 Why no capital allowance arises

Legislation — what the Act says	Application to Axion — tax consequences
• s12B(1)(h) grants the renewable allowance only for plant which is: • — owned by the taxpayer, or acquired as purchaser under an instalment credit agreement; • — brought into use for the first time by that taxpayer; • — for the purposes of that taxpayer's trade; • — used by that taxpayer in the generation of electricity from a specified renewable source. • s12U requires the taxpayer's trade to be the generation of electricity exceeding 5MW. • s12BA (expired) required ownership and first use by the taxpayer. • s11(e) requires the asset to be owned by the taxpayer and used for the purposes of trade. • A purchaser of output owns nothing and brings nothing into use.	• Every capital allowance fails on the same first test: ownership. Under a PPA the independent producer owns the plant, brings it into use and generates the electricity. Axion owns no asset, so s12B, s12BA, s12U and s11(e) are all unavailable. • Axion's trade is also not the generation of electricity — it is data centre and interconnection services. That independently defeats s12U, which requires the taxpayer's own trade to be generation exceeding 5MW. • Write this down in the answer rather than assuming it is obvious. “No allowance arises because Axion does not own the generation plant” is a mark. Silently moving on to s11(a) is not. • The producer gets the allowances, not Axion. That matters commercially: the producer's tax benefit is one of the things that should be reflected in the PPA price Axion is quoted. Ask whether it has been. • [WAITING FOR INPUT]: whether the arrangement is a pure purchase of electricity, or whether Axion takes any ownership interest, prepays capital, or funds the producer. If Axion contributes capital, re-test against Part 2 — the label “PPA” does not decide the tax treatment; the substance of ownership does.

1.2 Section 11(a) — the electricity cost

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a) — the general deduction formula. Deduction for expenditure and losses actually incurred in the Republic in the production of income, provided they are not of a capital nature. • Read with s23(g) — deductible only to the extent laid out for the purposes of trade. • “Actually incurred” means an unconditional legal obligation has arisen. Payment need not have been made. • The deduction arises in the year the obligation arises, not when the electricity is consumed or paid for.	• This is Axion's only deduction on this option, and it is a good one. Electricity is consumed in running the data centres, which produce Axion's income. It is a normal operating cost, not capital, and is fully deductible under s11(a) as incurred. • The deduction is level, not front-loaded. Roughly the same amount every year for the life of the contract, rather than a large deduction in the first three years. Against ownership, that is the single most important structural difference, and it belongs in any comparison. • No timing risk around 30 June. Unlike s12B, nothing turns on the date the plant is commissioned. Monthly electricity charges accrue evenly through the year. • Also deductible on this option: the grid and municipal electricity Axion continues to buy, and any network or wheeling charges it bears — see Part 3.

1.3 VAT, carbon tax and deferred tax

Legislation — what the Act says	Application to Axion — tax consequences
• VAT — 15%. The supply of electricity is a standard-rated taxable supply — not zero-rated and not exempt. • Input tax (s16(3) read with s17) is claimable on goods and services acquired for the purpose of making taxable supplies.	• The producer charges VAT at 15% on the PPA invoices. Axion claims it as input tax in full, because Axion makes taxable supplies (colocation, power recharge, interconnection). • VAT is therefore cash-flow neutral on this option, subject only to the timing between the VAT period in which input tax is claimed and the refund. Do not show it as a cost in the comparison. • [WAITING FOR INPUT]: whether the producer is a registered VAT

Legislation — what the Act says	Application to Axion — tax consequences
	vendor. If it is not, Axion has no input tax to claim and the PPA price is effectively 15% more expensive than a comparable quote from a registered vendor.
• Carbon Tax Act 15 of 2019. Tax on greenhouse gas emissions from fuel combustion, industrial process and fugitive sources, above the threshold for the activity. • The tax falls on Scope 1 emissions. It does not fall on Scope 2 emissions from purchased electricity — the generator bears it. • [NOT VERIFIED — confirm the threshold and current rate.]	• A PPA delivers essentially no carbon tax saving to Axion. Buying renewable rather than grid electricity reduces Axion's Scope 2 emissions, which are not carbon taxed in its hands. • Axion's own carbon tax exposure is Scope 1 — the diesel backup generators, and Document 7 states that renewable generation does not replace resilience infrastructure. The generators, and the exposure, remain whichever option is chosen. • Do not put a carbon tax saving into the NPV of this option. It is the error most likely to be rewarded with a negative comment.
• IAS 12. A temporary difference arises where the carrying amount of an asset or liability differs from its tax base. • IFRS 16 / IFRS 9. A supply contract may contain a lease if it conveys the right to control the use of an identified asset, or be a derivative unless the own-use exemption applies.	• No asset, no accelerated allowance, so essentially no deferred tax on this option — the accounting expense and the tax deduction are the same amount in the same year. • But test the contract itself. If the PPA gives Axion the right to control the use of an identified generation asset, IFRS 16 may require a right-of-use asset and lease liability. That would create a carrying amount with no tax base (the tax deduction still follows the cash cost under s11(a)) and therefore deferred tax, plus gearing consequences for the covenant discussion in trigger 6. • If the contract is priced on a notional volume rather than physical delivery, test the IFRS 9 own-use exemption before treating it as a simple purchase. • [WAITING FOR INPUT]: whether the PPA identifies a specific plant, and who directs its use and takes the output.

1.4 Worked example — Part 1

Substitute the real volume and price on the day. Nothing else in the computation changes.

Step	Input (assumed)	FY2027 tax effect
Volume of renewable electricity purchased	80 000 000 kWh	
PPA price	R1.10 per kWh	
Cost incurred in FY2027	R88.0m	
Capital allowance — s12B / s12BA / s12U / s11(e)	Nil — Axion owns no asset	Nil
Deduction under s11(a)	R88.0m	R23.76m at 27%
Taxable income: R350m less R88m	R262.0m	Tax R70.74m
Tax if Axion did nothing (R350m × 27%)	R94.50m	
Cash tax saved in FY2027		R23.76m
VAT charged by the producer	R13.2m at 15%	Claimed as input tax — cash-flow neutral
Carbon tax saved	Nil — the saving is Scope 2	Nil

- **The shape of the benefit.** R23.76m of tax saved in FY2027, and **the same again every year** for the life of the contract. Over the first three years that is **R71.28m** — against R128.25m under direct investment (Part 2), but it never stops, and it costs no capital.
- **The sentence for the board:** a PPA converts a capital decision into an operating cost. The tax benefit is smaller in the early years, level rather than front-loaded, and it continues for as long as Axion buys the electricity.

What to ask for on the day — Part 1

- **Volume and price** — kWh a year and rand per kWh, and the escalation basis.
- **Contract term**, and whether there is a minimum take or take-or-pay commitment (then go to Part 4).
- **Whether the producer is a registered VAT vendor.**
- **Whether the PPA identifies a specific plant**, and who controls its use — the IFRS 16 test.

- **Whether Axion contributes any capital, prepayment or funding** to the producer. If it does, Part 2 may apply instead.

Part 2 — Direct investment in generation capacity

What Document 7 says. “Invest in a renewable energy project, potentially with an experienced technical partner. Requires upfront capital and an appropriate funding structure. Axion participates in the risks and returns of the project. Greater involvement in construction, operations and governance.”

The tax shape of this option in one line. Axion acquires an asset, so the capital allowances open up — but **only if Axion itself owns the plant and brings it into use**. The words “potentially with an experienced technical partner” are the whole difficulty: the structure chosen decides who gets the deduction, and the same spend can produce a full allowance, half an allowance, or none at all in Axion’s hands.

2.1 Section 12B — the generation plant

Legislation — what the Act says	Application to Axion — tax consequences
• s12B(1)(h). Deduction for machinery, plant, implement, utensil or article which is: • — owned by the taxpayer, or acquired as purchaser under an instalment credit agreement; • — brought into use for the first time by that taxpayer; • — for the purposes of that taxpayer’s trade; • — used in the generation of electricity from a specified renewable source. • Specified sources: wind; photovoltaic solar; concentrated solar; hydropower not exceeding 30MW; biomass. • Rate — 50 / 30 / 20 over three years for wind, PV solar above 1MW, concentrated solar, hydro ≤ 30MW and biomass. • Rate — 100% in year one for PV solar not exceeding 1MW. • Not apportioned for part of a year. Brought into use on the last day of the year still gives the full first-year percentage. • Cost base: acquisition cost, plus erection, installation and construction, plus any concrete, foundation or supporting structure to which the asset is affixed. • Extends to improvements (not repairs). The asset need not be new and unused — second-hand qualifies.	• This is the provision that makes direct investment attractive, and it is the heart of the trigger. • [WAITING FOR INPUT]: capacity in MW, the technology, the plant cost, the ownership structure, and the date brought into use. These five facts decide the entire answer. • On the assumed facts. 30MW of PV solar is above 1MW, so the rate is 50/30/20, not 100%. Plant and machinery of R450m qualifies. The R60m grid connection qualifies only if it forms part of the generating plant — see 2.4. Land never qualifies. • FY2027: $R450m \times 50\% = R225.0m$ · tax at 27% = R60.75m • FY2028: $R450m \times 30\% = R135.0m$ · tax = R36.45m • FY2029: $R450m \times 20\% = R90.0m$ · tax = R24.30m • The no-apportionment point, quantified — make this recommendation. Brought into use 1 May 2027 gives the full R225m in FY2027. Slip to 1 July 2027 and the whole R225m moves to FY2028, deferring R60.75m of cash tax by a year. Document 7 says the timing of the grid connection “remains critical”, so this is a live risk, not a hypothetical one. • If the project were small. Anything not exceeding 1MW of PV attracts 100% in year one instead. On R18m of plant that is a full R18m deduction, R4.86m of tax, immediately.

2.2 Section 12BA — the expired 125% allowance

Legislation — what the Act says	Application to Axion — tax consequences
• 125% of cost, deducted in full in the year the asset is brought into use. • Asset must be new and unused, owned by the taxpayer, brought into use for the first time for the taxpayer’s trade, and used to generate electricity from the same sources as s12B. • No capacity threshold — unlike the 30MW hydro limit in s12B. • Not apportioned. Cost base: acquisition, installation and erection, plus any foundation or supporting structure. • Available only for assets brought into use on or after 1 March 2023 and before 1 March 2025. Not renewed. • s12B and s12BA are mutually exclusive for the same asset.	• Not available for this option. The window closed on 28 February 2025. Any project arising from Document 7 will be brought into use in FY2027 at the earliest, so s12BA cannot be claimed. • State the expiry explicitly in the answer. Claiming a lapsed incentive is a technical error that costs more than an omission. Saying “s12BA would have applied but expired on 28 February 2025” earns the mark instead. • Then use it commercially — this is the high-value point. Had the same R450m plant been commissioned before 1 March 2025, s12BA would have given $125\% \times R450m = R562.5m$ in FY2027 alone, a first-year tax benefit of R151.9m against R67.5m under s12B and s12U today. • So the expiry of s12BA has materially weakened the case for building rather than buying, by roughly R84m of first-year cash tax on these numbers. That is a genuine, quantified insight drawn from a provision that does not apply — exactly the kind of depth the marking

Legislation — what the Act says	Application to Axion — tax consequences
	standard rewards. The existing on-site solar may have been claimed under s12BA — see Part 6.

2.3 Section 12U — roads and fences

Legislation — what the Act says	Application to Axion — tax consequences
- In force from 1 April 2016, covering supporting infrastructure that s12B does not. 100% write-off in the year incurred of expenditure on: - the construction of any road; - the erection of any fence; - a foundation or supporting structure designed for such a fence; improvements to any of the above. - Available only where the taxpayer's trade is the generation of electricity exceeding 5MW from solar or wind, hydro not exceeding 30MW, or biomass. Scope limit. s12U does not cover transmission lines, substations or grid connection infrastructure.	A threshold provision, and the pre-release gives no capacity. [WAITING FOR INPUT]: project capacity in MW. Below 5MW s12U is simply unavailable and you must say so rather than claiming it. On the assumed facts. 30MW exceeds 5MW, so s12U covers the R25m of site roads and perimeter fencing. $R25m \times 100\%$ in FY2027 = R25.0m deduction · tax at 27% = R6.75m, all in year one. Note the second requirement, which is easy to miss. s12U looks at the taxpayer's trade. If the plant sits in an SPV and Axion merely buys the output, Axion's trade is not generation and Axion gets no s12U even on roads it paid for. Ownership and trade must both sit with the claimant — see 2.5. Do not sweep the grid connection in here. The R60m transmission line is outside s12U and must be tested separately — 2.4.

2.4 The grid connection — which section applies

Legislation — the options, tested in order	Application to Axion — tax consequences
First — s12B. Is it “machinery, plant, implement, utensil or article” used in the generation of electricity? Transformers, inverters and switchgear integral to generating form part of the qualifying plant, and the cost base expressly includes foundations and supporting structures. Second — s12U. Only a road, a fence, or a foundation for a fence. A transmission line is none of these. Third — s13quin. 5% a year if it is a new and unused building or improvement used wholly or mainly in producing income in the course of trade. A substation building could fall here. Land is excluded. Fourth — s11(e). Wear and tear on plant where no specific allowance applies. Apportioned for part of a year. Write-off periods in Interpretation Note 47. If none apply: the expenditure is capital, attracts no allowance, and goes to base cost for CGT.	[WAITING FOR INPUT] — make this your first information request on this option: a breakdown of the project cost between plant, roads and fences, transmission and connection infrastructure, buildings and land. Without the split you cannot allocate to the right section. Applying it to the assumed R60m connection. Work the order and show the reasoning: Transformers and switchgear integral to generation → s12B at 50% → FY2027 deduction R30.0m · tax R8.10m A substation building → s13quin at 5% → FY2027 deduction R3.0m · tax R0.81m A transmission line with no specific allowance → s11(e), apportioned. On a 20-year write-off and 2 months of use: $R60m \div 20 \times 2/12 = R0.5m$ · tax R0.135m R8.10m against R0.135m of first-year tax on the same R60m. That 60-fold spread is why the cost split matters, and why “it depends” is the correct answer here — provided you then set out what it depends on, as above. A range with reasons scores; a guess does not. Land of R15m attracts no allowance under any section. It goes to base cost for CGT. Say so explicitly.

2.5 Who claims — ownership, partnership or SPV

The highest-value point on this option. Document 7 says the investment would be made “potentially with an experienced technical partner”, and the structure chosen decides who gets the deduction.

Legislation — what the Act says	Application to Axion — tax consequences
Four elements must sit in the same taxpayer. The allowance goes to the person who owns the asset, brings it into use, uses it in that person's own trade, and does so in the	[WAITING FOR INPUT]: the legal form of the arrangement with the technical partner, and the participation percentages. Comparison on the assumed facts — FY2027 deductions of R250m (s12B R225m + s12U R25m):

Legislation — what the Act says	Application to Axion — tax consequences
production of income. • s24H — partnerships. A partnership is transparent. Each partner is deemed to carry on the trade of the partnership and claims its proportionate share of the allowance in its own return, against its own other income. • A company that owns the plant claims in its own right. Its shareholders claim nothing directly. • Instalment credit agreement purchaser is treated as the owner. • A lessee does not own and cannot claim, unless s12N deems it the owner of improvements effected on land it does not own. • A buyer of output has no asset and no allowance — only s11(a). • [NOT VERIFIED — read s24H and s12N before relying on the detail.]	• Structure A — Axion owns 100%. Deduction R250.0m in Axion. Taxable income $R350m - R250m = R100m$ · tax R27.00m, against R94.50m with no project. Cash tax saved R67.50m. • Structure B — 50/50 joint operation. s24H makes it transparent: Axion claims its 50% share = R125.0m. Taxable income $R225m$ · tax R60.75m. Cash tax saved R33.75m. The partner claims the other half against its own income. • Structure C — a project company (SPV) that Axion part-owns. The SPV claims the R250m, against nil income → an assessed loss carried forward and constrained by s20 (see 2.7). Axion claims no allowance at all — only s11(a) on the electricity it buys from the SPV, which is Part 1 economics with extra steps. • The headline finding, and the sentence to lead with: the same R250m of qualifying spend produces R67.50m, R33.75m or no allowance in Axion's hands, purely on structure — before a single commercial term changes. • The tension to flag, not resolve silently. The transparent structure is best for tax, because the deduction lands in Axion against existing profits. It is also worst for gearing, because the project debt comes onto Axion's balance sheet — which runs straight into the covenant and funding discussion. The IFRS 11 test (rights to assets, obligations for liabilities) and the tax test (who owns and brings into use) are different tests and can point in opposite directions.

2.6 Funding the project — sections 24J and 23M

Legislation — what the Act says	Application to Axion — tax consequences
• s24J. Interest is incurred and accrued on a yield-to-maturity basis over the term of the instrument, regardless of when it is paid. The tax treatment is independent of the accounting treatment — interest capitalised into the cost of an asset for accounting is still deducted for tax as incurred, unless another provision prevents it. • s23M. Limits the deduction of interest on debt owed to a creditor in a controlling relationship with the debtor where that creditor is not subject to South African tax on the interest. The excess is carried forward. • [NOT VERIFIED — read s23M and confirm the current percentage and the definition of a controlling relationship.]	• Document 7 says this option “requires upfront capital and an appropriate funding structure”, and Document 3 lists three funding routes: additional debt, investment from existing shareholders, or a new strategic investor. Each has a different tax outcome. • Debt. Assume R300m of the R450m plant is debt-funded at 11%, drawn for 8 months of FY2027: $R300m \times 11\% \times 8/12 = R22.0m$ of interest, deductible under s24J · tax R5.94m. • Equity. No deduction at all. The trade-off against debt is worth a sentence in the funding recommendation: debt brings a 27% shield on the interest, equity brings none but no covenant exposure. • s23M is live if shareholders lend. Ubuntu holds 35% and Horizon 30% (Document 4). If either lends to Axion or to a project company and is not subject to SA tax on the interest, the deduction can be restricted. [WAITING FOR INPUT]: the identity, tax residence and shareholding of any project lender. • The double-count trap — raise it as a question. If the R22m of interest is capitalised into the asset for accounting, it is not in accounting profit but is deducted under s24J. If it is also included in the s12B cost base, the same rand is relieved twice. [WAITING FOR INPUT]: confirm whether capitalised interest is in the s12B cost base.

2.7 Section 20 — assessed losses

Legislation — what the Act says	Application to Axion — tax consequences
• s20(1)(a). A company may set off the balance of assessed loss brought forward only against the higher of R1 million or 80% of taxable income for the year. • Applies to years of assessment ending on or after 31 March 2023. • Effect: a company with taxable income above R1m pays tax on at least 20% of that income, however large its brought-forward loss. • The unused balance is carried forward, not lost.	• In Structure A, Axion is comfortable. FY2026 profit before tax was R325m, and the R250m deduction leaves R100m of taxable income in FY2027. No assessed loss arises and the benefit is realised in cash, immediately. • But test the downside rather than assuming headroom. If the project were larger, or if s13quin on JHB4 and s12L savings landed in the same year, total deductions could exceed taxable income. Do the arithmetic on the day. • Where s20 bites hard is Structure C. The SPV has an assessed loss of R250m carried into FY2028. Assume it earns taxable income

Legislation — what the Act says	Application to Axion — tax consequences
• The current-year loss is not restricted — the limitation applies to the balance brought forward from an earlier year.	of R60m in FY2028: • Set-off limited to the higher of R1m and $80\% \times R60m = \mathbf{R48.0m}$ • Taxable income after set-off $R12.0m \cdot \text{tax at } 27\% = \mathbf{R3.24m}$ — the SPV pays tax despite a R250m loss • Assessed loss carried forward = $R250m - R48m = \mathbf{R202.0m}$ • So the R250m takes many years to absorb, and its present value in Structure C is far below its nominal value. This is the quantified answer to “why does the structure matter?” — and it is a stronger answer than simply saying the loss is trapped.

2.8 Disposal — recoupment and capital gains

Legislation — what the Act says	Application to Axion — tax consequences
• s8(4)(a) — recoupment. On disposal, amounts previously allowed as a deduction are recouped and included in income to the extent proceeds exceed the tax value. The recoupment is capped at the allowances actually claimed and taxed as ordinary income at 27%, not as a capital gain. • s11(o) — scrapping allowance. Where an asset with a write-off period not exceeding 10 years is alienated, lost or destroyed for proceeds less than its tax value, the shortfall may be deducted. Election required. • Eighth Schedule — CGT. Proceeds less base cost, and base cost is reduced by the allowances claimed. Any amount recouped under s8(4)(a) is excluded from proceeds for CGT, to avoid double taxation. • Company CGT: inclusion rate 80%, taxed at 27% → effective 21.6%. • s8(4)(nA) applies instead where s12BA was claimed — see Part 6.	• Example 1 — plant sold below cost. The R450m plant is sold in FY2032 for R200m. The allowances are fully claimed by FY2029, so the tax value is nil. • Recoupment = lesser of $(R200m - \text{nil})$ and allowances of R450m = R200.0m into income · tax R54.0m. Proceeds are below original cost, so no capital gain arises. • Example 2 — sold above cost, for R500m. • Recoupment capped at allowances claimed = R450.0m · tax R121.5m • Capital gain = $R500m - R450m = \mathbf{R50.0m}$ · $\times 80\% = R40m$ · at 27% = R10.8m • Total tax on disposal R132.3m. • The sentence the board most often needs. The accelerated allowances are a deferral, not a permanent saving — the full R450m comes back as ordinary income on disposal. What the allowances actually deliver is the present value of the deferral, and that, not the nominal R128.25m, is what belongs in the post-tax NPV. • s11(o) is unlikely to help. It requires a write-off period not exceeding 10 years. Plant written off over three years under s12B has no remaining tax value to scrap, and long-life infrastructure usually exceeds 10 years. Consider it, then rule it out with the reason.

2.9 VAT, dividends tax, carbon tax and deferred tax

Legislation — what the Act says	Application to Axion — tax consequences
• VAT — 15%. Input tax on construction, plant and imported equipment is claimable to the extent acquired for making taxable supplies (s16(3) read with s17). • VAT on importation is payable and recoverable; customs duty is not.	• Input tax on the plant is a substantial and immediate cash inflow. R450m of plant excluding VAT → R67.5m of input tax claimable in the VAT period of acquisition. • Show VAT as a timing benefit in the project cash flow, not as a cost. It is recovered, but the timing between payment and refund is real working capital on a project of this size. • Customs duty on imported equipment is a genuine cost and belongs in the project capital cost — and therefore in the s12B cost base. [WAITING FOR INPUT]: whether the plant is imported and at what duty rate.
• Dividends tax — 20%. Withheld on dividends paid by a resident company to its shareholders. • s64F(1)(a) exempts the dividend where the beneficial owner is a South African resident company, subject to the declaration and written undertaking being given before payment.	• Relevant only in Structure C, when the project company distributes profits up to Axion. • If both are SA resident, the dividend should be exempt — but the exemption is procedural, not automatic. Missing paperwork costs 20%. • SPV distributes R50m to Axion: with the declaration nil; without it R10.0m withheld.
• Carbon Tax Act 15 of 2019. Falls on Scope 1 emissions from fuel combustion, above the threshold for the activity. It does not fall on Scope 2 emissions from purchased electricity.	• Owning the generation plant does not change Axion’s carbon tax position either. The saving is still Scope 2. Do not put a carbon tax saving into the NPV of this option. • Axion’s Scope 1 exposure remains its diesel backup generators,

Legislation — what the Act says	Application to Axion — tax consequences
• [NOT VERIFIED — confirm the threshold and rate.]	which Document 7 confirms are still required. Note that diesel is excluded from the electricity mix table in Document 7 — a natural place for a question to hide.
• IAS 12. A taxable temporary difference arises where the carrying amount of an asset exceeds its tax base, giving a deferred tax liability, measured at the rate expected to apply on reversal — 27%. • [Paragraph references not verified.]	• At 30 June 2027. Plant cost R450m, depreciated over 25 years; 2 months of use → R3m of depreciation. • Carrying amount R447.0m · tax base R450m – R225m = R225.0m • Taxable temporary difference R222.0m · deferred tax liability at 27% = R59.94m • The pattern to describe: the tax base falls to nil within three years while the asset is depreciated over 25. The deferred tax liability builds very fast and unwinds slowly over two decades — material for a business already carrying R6 850m of liabilities and being benchmarked by institutional investors.

2.10 Worked example — Part 2

Substitute the real cost split, capacity and commissioning date on the day. The structure of the computation does not change.

Step 1 — Allocate each cost to its own section

Cost element	Amount	Section	FY2027 deduction
Plant and machinery	R450m	s12B at 50%	R225.0m
Roads and perimeter fencing	R25m	s12U at 100%	R25.0m
Grid connection / transmission	R60m	s12B, s13quin or s11(e)	R30.0m / R3.0m / R0.5m
Land	R15m	No allowance — base cost only	Nil
Total, excluding the grid connection	R550m		R250.0m

Step 2 — Apply the structure

	A — Axion owns 100%	B — 50/50 joint operation	C — SPV owns
Who claims	Axion	Axion 50%; partner 50%	The SPV
Axion's FY2027 deduction	R250.0m	R125.0m	Nil
Taxable income before	R350.0m	R350.0m	R350.0m
Less: deduction	(R250.0m)	(R125.0m)	(R88.0m) s11(a) on electricity
Taxable income after	R100.0m	R225.0m	R262.0m
Tax at 27%	R27.00m	R60.75m	R70.74m
Tax with no project	R94.50m	R94.50m	R94.50m
Cash tax saved, FY2027	R67.50m	R33.75m	R23.76m

Step 3 — The three-year picture for Structure A

	FY2027	FY2028	FY2029	Total
s12B at 50 / 30 / 20	R225.0m	R135.0m	R90.0m	R450.0m
s12U at 100%	R25.0m	—	—	R25.0m
Total deduction	R250.0m	R135.0m	R90.0m	R475.0m
Tax benefit at 27%	R67.50m	R36.45m	R24.30m	R128.25m

- **The shape of the benefit.** Heavily front-loaded and **exhausted after FY2029**. Against Part 1, which delivers R23.76m every year indefinitely. Over the first three years: **R128.25m against R71.28m** — but the PPA keeps paying after that.
- And remember 2.8: the R128.25m is a **deferral**. On disposal s8(4)(a) brings it back as ordinary income.

What to ask for on the day — Part 2

- **Capacity in MW and the technology** — decides 100% against 50/30/20, and whether s12U is available at all.
- **The cost split** between plant, roads and fences, grid connection, buildings and land.
- **The ownership structure** with the technical partner, and the participation percentages — the single biggest swing factor.
- **The date the asset will be brought into use**, against 30 June.
- **The funding mix**, and the identity and tax residence of any lender, for s24J and s23M.
- **Whether capitalised interest is included in the s12B cost base.**

Part 3 — Off-site generation and wheeling

What Document 7 says. “Land and network constraints may limit renewable generation at a data centre site. Electricity may instead be generated elsewhere and supplied through the electricity network under a wheeling arrangement.” The diagram runs: renewable-energy project → electricity network → Axion data centre, “allocated at an agreed metering point”, and lists **network and wheeling charges, transmission losses, curtailment, and electricity generated but not used**.

The tax shape of this option in one line. **Wheeling is a delivery mechanism, not an ownership structure.** It does not create or destroy a capital allowance. The allowance question follows **Part 1 or Part 2 depending on who owns the off-site plant** — and wheeling then adds its own layer of deductible operating costs.

3.1 The fork — does Axion own the off-site plant?

Legislation — what the Act says	Application to Axion — tax consequences
• s12B requires the plant to be owned by the taxpayer, brought into use by that taxpayer, for that taxpayer’s trade, in generating electricity from a specified source. It does not require the plant to be located at the taxpayer’s premises. • s12U requires the taxpayer’s trade to be generation exceeding 5MW. Again, location is not a requirement. • s11(a) allows the cost of electricity purchased, where incurred in the production of income and not of a capital nature. • s12N may deem a taxpayer the owner of improvements effected on land it does not own, where it holds a right of use of that land. [NOT VERIFIED — read s12N.]	• Nothing in s12B turns on where the plant stands. An off-site plant that Axion owns and brings into use in its own trade attracts s12B on exactly the same terms as an on-site one. Do not let the words “off-site” lead you to deny the allowance. • So ask one question and follow the branch: • Axion owns the off-site plant → the whole of Part 2 applies unchanged: s12B on the plant, s12U on roads and fences if above 5MW, the grid connection tested in order, s24J on the funding, s8(4) (a) on disposal. Then add 3.2 for the wheeling costs. • An independent producer owns it → the whole of Part 1 applies: no capital allowance, only s11(a) on the electricity. Then add 3.2 for the wheeling costs. • The land point is worth raising. Document 7 says land constraints may drive generation off-site, and Axion holds undeveloped land (Document 5). If that land were used for the project, the land itself still attracts no allowance — but s12U covers roads and fencing on it, and s12N may be relevant if Axion builds on land it does not own. [WAITING FOR INPUT]: the site, and whether Axion owns, leases or has a servitude over it. • [WAITING FOR INPUT]: who owns the off-site plant, whether Axion takes an equity interest in it, and where the metering point sits.

3.2 Wheeling charges, transmission losses and curtailment

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a) read with s23(g). Expenditure actually incurred in the production of income, not of a capital nature, and laid out for the purposes of trade. • “Actually incurred” means an unconditional legal obligation has arisen — not that the benefit was received or the payment made. • A loss actually incurred in the production of income is deductible on the same terms as expenditure. • There is no requirement that the expenditure produce income successfully. Expenditure on a failed or wasted input remains deductible if it was incurred in the production of income.	• Network and wheeling charges paid to the network operator are a normal operating cost of getting the electricity to the data centre. Deductible in full under s11(a) as incurred. On the assumed facts, R12.0m a year · tax at 27% = R3.24m. • Transmission losses are the sharper point. Axion pays for electricity at the generation point but receives less at the metering point. The cost of the lost units is still expenditure actually incurred in the production of income, so it remains deductible — the loss does not disallow it. On 5% of 80 GWh at R1.10, that is R4.4m a year · tax R1.19m. • Curtailment — where the network cannot take the output — and “electricity generated but not used” are the same analysis. If Axion has an unconditional obligation to pay, the cost is incurred and therefore deductible, even though Axion received no usable electricity. See Part 4, where this becomes the main question. • Say this plainly, because it is counter-intuitive and it is a mark: electricity Axion pays for and never uses is still deductible. The tax system does not penalise a wasted input. But it is a real cash cost with no offsetting benefit, so it must be priced into the commercial comparison even though it is fully relieved at 27%. • [WAITING FOR INPUT]: the wheeling tariff, the loss factor applied at the metering point, and who bears curtailment risk under the contract.

3.3 VAT and the metering point

Legislation — what the Act says	Application to Axion — tax consequences
• VAT — 15%. Electricity and network services are standard-rated taxable supplies. • Input tax (s16(3) read with s17) is claimable to the extent the supply is acquired for making taxable supplies. • The time of supply and value of supply rules determine the period in which output and input tax arise.	• There are two separate supplies on this option, and both carry VAT at 15%: the electricity supplied by the producer, and the wheeling and network service supplied by the network operator. Axion claims input tax on both. • Both are fully claimable, because Axion makes taxable supplies — colocation, the power recharge to customers, and interconnection. VAT is cash-flow neutral on this option. • The metering point matters for VAT as well as for engineering. It fixes the quantity and therefore the value on which the producer charges output VAT. If Axion is invoiced for pre-loss volumes, the input tax follows that invoice. • [WAITING FOR INPUT]: whether the producer and the network operator are registered VAT vendors, and at which point volume is measured for invoicing.

3.4 Worked example — Part 3

This example assumes an independent producer owns the plant, so Part 1 applies to the electricity and the wheeling costs are added. If Axion owns the plant instead, take the Part 2 example and add only the wheeling block below.

Step	Input (assumed)	FY2027 tax effect
Volume contracted at the generation point	80 000 000 kWh	
Transmission losses at 5%	(4 000 000 kWh)	
Volume received at the metering point	76 000 000 kWh	
Electricity cost — 80 GWh at R1.10	R88.0m	s11(a) · R23.76m
Network and wheeling charges	R12.0m	s11(a) · R3.24m
Total deduction	R100.0m	R27.00m
Capital allowance (producer owns the plant)	Nil	Nil
Taxable income: R350m less R100m	R250.0m	Tax R67.50m
Cash tax saved against R94.50m		R27.00m
Effective cost per usable kWh	$R100.0m \div 76 \text{ GWh} =$ R1.32/kWh	R0.96/kWh after tax relief

- **The point the effective-cost line makes.** A headline PPA price of R1.10/kWh becomes **R1.32/kWh delivered** once wheeling charges and transmission losses are included — above the R1.30/kWh grid cost it was meant to beat. **Wheeling is where a renewable saving can quietly disappear**, and the tax relief at 27% does not rescue it, because the grid alternative is equally deductible.
- **That is the commercial insight to draw from this option**, and it comes straight from the four cost items Document 7 lists under the wheeling diagram.

What to ask for on the day — Part 3

- **Who owns the off-site plant** — the one fact that decides whether Part 1 or Part 2 applies.
- **The wheeling tariff and the loss factor** at the agreed metering point.
- **Who bears curtailment risk**, and whether Axion pays for electricity generated but not delivered.
- **Where the metering point is**, and the volume basis on which Axion is invoiced.
- **The site of the off-site plant**, and whether Axion owns, leases or holds a right of use over the land — for s12U and s12N.

Part 4 — Long-term offtake agreements

What Document 7 says. Benefits: greater revenue certainty for the project; improved visibility over future electricity costs; contracted revenues may support project debt; electricity can be secured for future capacity. Related considerations: the project may depend heavily on one customer; **pricing and escalation terms may apply for many years**; funders will consider the customer's ability to pay; and **purchase commitments may begin before the new facility is fully utilised**.

The tax shape of this option in one line. An offtake agreement is a **contracting layer over Part 1, 2 or 3**, not a fourth way of getting electricity. Its tax question is one of **timing and of wasted cost**: when is a multi-year commitment "actually incurred", and is electricity paid for but never used still deductible?

4.1 When the commitment is "actually incurred"

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a). Deduction for expenditure actually incurred in the production of income, not of a capital nature, read with s23(g). • "Actually incurred" means an unconditional legal obligation has arisen in that year of assessment. Payment is not required, and the benefit need not yet have been received. • An obligation that is contingent on a future event is not yet incurred, and no deduction arises until the contingency falls away. • Signing a contract does not of itself incur the expenditure of every future year. Each year's obligation is tested in that year. • s23(e) denies a deduction for income carried to a reserve or capitalised. • There is no general provision allowing a deduction for future expenditure under a purchase contract. s24C works the other way — it relieves a taxpayer who has received income in advance.	• The trap on this option, and it is a real one. A 15-year offtake with escalation looks like a large committed liability the moment it is signed. For tax, it is not. Axion deducts only the year's electricity, as each year's unconditional obligation arises. There is no deduction on signature for the remaining years of the contract. • So a candidate who writes "Axion should recognise a deduction for the full committed purchase price" is wrong, and visibly so. Deduct year by year. • Then draw the accounting contrast, because it is the interesting half. For accounting, a contract that has become onerous may require a provision under IAS 37 for the unavoidable net cost. That provision is an expense now, but it is not deductible now — the tax deduction waits until each year's obligation is actually incurred. • That mismatch is a deductible temporary difference and a deferred tax asset, recognised only to the extent future taxable profits are probable (IAS 12). On Axion's FY2026 profit before tax of R325m that test is currently met — but say so, do not assume it. • s24C cuts the other way and should be mentioned and dismissed. It gives an allowance where income has been received in advance and expenditure must still be incurred under that contract. As the buyer of electricity, Axion receives no income under the PPA, so s24C gives Axion nothing here. It is relevant to Axion as a seller, on contracted-but-unutilised data centre capacity — see Part 9.3. • [WAITING FOR INPUT]: the contract term, the take-or-pay percentage, the escalation formula, and whether any payment is unconditional on signature.

4.2 Electricity paid for but not used

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a). Expenditure actually incurred in the production of income, not of a capital nature. • The test is the purpose for which the expenditure was incurred, not whether it in fact produced income. • A loss actually incurred in the production of income is deductible on the same terms as expenditure. • s23(g) denies a deduction only to the extent expenditure is not laid out for the purposes of trade. • Expenditure on an input that is wasted, spoiled or unused remains deductible where it was incurred for trade purposes.	• Document 7 raises this directly: "purchase commitments may begin before the new facility is fully utilised". So Axion may contract for 80 GWh while the new capacity only consumes 55 GWh. • The answer is that the unused electricity remains deductible. The commitment was entered into for the purposes of Axion's trade, to secure power for data centre capacity. s11(a) asks about purpose, not outcome, and s23(g) is not offended. The take-or-pay payment on unused volume is deductible in full at 27%. • But do not stop at the technical answer — that is what separates a competent response from a borderline one. Deductibility does not make it cheap. Axion still bears 73 cents in every rand of a cost that delivers nothing. • On the assumed facts, a 25 GWh shortfall at R1.10 is R27.5m of wasted purchase: tax relief R7.43m, net cash cost R20.07m — with no electricity consumed and no revenue earned against it. • The recommendation that follows. Match the ramp of the offtake commitment to the contracted capacity curve rather than to installed capacity. Axion already measures contracted, installed and utilised

Legislation — what the Act says	Application to Axion — tax consequences
	capacity separately (Document 5), so the data to do this exists. That is a tax-informed operational recommendation, which is what the task is likely to reward. • Also flag the counterparty point from Document 7: “the project may depend heavily on one customer”, and “funders will consider the customer’s ability to pay”. A long offtake from Axion is effectively credit support for the project’s debt, which belongs in the gearing and covenant discussion even though it creates no tax consequence of its own.

4.3 Worked example — Part 4

The commitment ramps ahead of utilisation. Substitute the real take-or-pay percentage and utilisation curve on the day.

	FY2028	FY2029	FY2030
Contracted volume (take-or-pay)	80 GWh	80 GWh	80 GWh
Volume actually consumed	55 GWh	70 GWh	80 GWh
Volume paid for but not used	25 GWh	10 GWh	Nil
Total cost at R1.10/kWh	R88.0m	R88.0m	R88.0m
Deduction under s11(a)	R88.0m	R88.0m	R88.0m
Tax relief at 27%	R23.76m	R23.76m	R23.76m
Of which relates to wasted volume	R7.43m	R2.97m	Nil
Net cash cost of the wasted volume	R20.07m	R8.03m	Nil

- **R28.1m of net cash burned over two years** on electricity never consumed — fully deductible, and still R28.1m gone. Deductibility is the technical answer; the ramp mismatch is the commercial one. **Give both.**
- **No deduction arises in FY2027 on signature**, even if the contract is signed then and runs to FY2042. The obligation for FY2028 is incurred in FY2028.

What to ask for on the day — Part 4

- **The contract term and the take-or-pay percentage.**
- **The escalation formula**, and whether it is CPI-linked or fixed.
- **The commissioning and utilisation ramp** of the new facility, against the date the purchase commitment starts.
- **Whether any amount is payable unconditionally on signature** — that, and only that, would be incurred up front.
- **Whether the contract has become onerous** for IAS 37, and whether future taxable profits support a deferred tax asset.

Part 5 — Section 12L: applies to every option

Why this has its own part. s12L is not one of the four options. It rewards **using less** electricity rather than securing more, so it is available **alongside whichever option the board chooses** — and it applies to the five facilities Axion already operates, not only to new capacity.

Legislation — what the Act says	Application to Axion — tax consequences
- Deduction for verified energy efficiency savings achieved by the taxpayer in the year of assessment. - Computed at 95 cents per kilowatt-hour (or kWh equivalent) of energy saved. - Requires measurement and verification by a SANAS-accredited M&V body, and a certificate issued by SANEDI. No certificate, no deduction. - Savings are measured against a baseline, which must be established and measured before the efficiency intervention. Sunset extended from 31 December 2025 to 31 December 2030 — the incentive is available.	Confirm the extension before dismissing this. s12L was due to lapse on 31 December 2025 and was extended to 31 December 2030. Axion's FY2027 and later years are within the window. Why it fits Axion unusually well. Electricity is one of its most significant operating costs (Document 7); data centres measure consumption continuously, so a defensible baseline is achievable; and Document 7 describes an AI-enabled tool piloted at Johannesburg 1 that identifies and prioritises equipment maintenance — precisely the kind of intervention that produces measurable efficiency savings. Worked example. A cooling optimisation saves 3 000 000 kWh in FY2027: $3\,000\,000 \text{ kWh} \times 95\text{c} = \text{R}2.85\text{m}$ deduction · tax at 27% = R769 500 - Modest beside the s12B numbers, but it recurs annually while the savings persist, it requires no capital, and it is available whichever of the four options is chosen. The practical caution to give, because it is advice the client can act on. There is no retrospective claim. Without a measured baseline and SANEDI certification there is no deduction, however real the saving. If the board is contemplating efficiency work, the baseline must be established first. [WAITING FOR INPUT]: whether Axion has claimed s12L before, whether a measured baseline exists, and what efficiency projects are planned.

Part 6 — The existing on-site solar generation

Why this has its own part. Document 7 lists **on-site solar generation** among Axion's current electricity sources. It is not one of the options under consideration, but it is an existing asset with its own tax history — and a task could ask about it, or about disposing of it, rather than about the new investment.

Legislation — what the Act says	Application to Axion — tax consequences
s12B — 100% in the year brought into use for PV solar not exceeding 1MW; otherwise 50/30/20. s12BA — 125% in the year brought into use, for new and unused assets brought into use on or after 1 March 2023 and before 1 March 2025. Expired. - s12B and s12BA are mutually exclusive for the same asset. s8(4)(nA) — recoupment where s12BA was claimed. Disposal before 1 March 2026 → if proceeds ≥ cost, the full 125% is recouped into income; if proceeds < cost, 125% of proceeds. Disposal on or after 1 March 2026 → the lesser of proceeds and the allowance. s8(4)(a) applies instead where the allowance was claimed under s12B. s11(d) allows repairs; an improvement is capital and falls into s12B, which covers improvements to a qualifying asset.	[WAITING FOR INPUT]: the capacity of the existing on-site solar, its cost, when it was brought into use, and which section was claimed. That last fact decides the disposal rule. On the assumed facts — 800kW, R18m, brought into use 1 October 2024, inside the s12BA window: s12BA claimed: $R18\text{m} \times 125\% = \text{R}22.5\text{m}$ deduction in FY2025 · tax R6.075m s12B would have given: $R18\text{m} \times 100\% (\leq 1\text{MW}) = R18\text{m}$ · tax R4.86m. The enhanced allowance was worth an extra R1.215m. - The extra 25% (R4.5m) is a permanent difference — total deductions exceed cost — so it reduced the FY2025 effective tax rate and is a reconciling item. It is not deferred tax. Disposal, and why the date is the whole answer. Assume the asset is sold for R15m, below its R18m cost: - Sold before 1 March 2026 → recoup $125\% \times R15\text{m} = \text{R}18.75\text{m}$ into income · tax R5.06m - Sold on or after 1 March 2026 → recoup the lesser of proceeds R15m and the allowance R22.5m = R15.0m · tax R4.05m Axion's FY2026 ended on 30 June 2026, which is after 1 March 2026, so the milder rule applies to any disposal now — a favourable, precise, date-driven point.

Legislation — what the Act says	Application to Axion — tax consequences
	• Upgrading rather than disposing. Replacing failed panels with equivalent panels is a repair, deductible in full under s11(d). Replacing them with higher-output panels is an improvement — capital, and it falls into s12B, which expressly covers improvements to a qualifying asset.

Part 7 — The four options compared

One page. If the task asks you to compare rather than to analyse a single option, this is the answer skeleton. All figures are on the assumed facts in the front of this document.

	Part 1 — PPA	Part 2 — Direct investment	Part 3 — Wheeling	Part 4 — Long offtake
Does Axion own an asset?	No	Yes, if it owns directly	Depends who owns the plant	Not of itself
Capital allowance	None	s12B 50/30/20, s12U 100%	Follows Part 1 or Part 2	None
Main deduction	s11(a) electricity	s12B, s12U, s24J interest	s11(a) electricity plus wheeling	s11(a), year by year
FY2027 deduction	R88.0m	R250.0m	R100.0m	R88.0m
Cash tax saved, FY2027	R23.76m	R67.50m	R27.00m	R23.76m
First three years	R71.28m	R128.25m	R81.00m	R71.28m
Shape of the benefit	Level , continues for the contract life	Front-loaded , exhausted after FY2029	Level	Level, but includes wasted volume
Is it permanent?	Yes — a true cost	No — a deferral. s8(4) (a) recoups on disposal	Yes	Yes
Capital required	Limited	R550m	Depends on ownership	None
VAT	Input tax claimable — neutral	R67.5m input tax on the plant — timing benefit	Claimable on both supplies	Neutral
Carbon tax saving	Nil — Scope 2	Nil — Scope 2	Nil — Scope 2	Nil — Scope 2
Deferred tax	Minimal, unless IFRS 16 applies	Large DTL — R59.94m by FY2027	As Part 1 or 2	DTA if an IAS 37 provision arises
The risk to flag	IFRS 16 may make it a lease	Structure decides who claims — R67.5m, R33.75m or nil	Wheeling costs and losses erode the saving	Paying for electricity not used

- **The one-sentence conclusion, if a task asks you to recommend.** Direct investment delivers by far the largest tax benefit in the first three years — **R128.25m against R71.28m** — but it is a **deferral, not a saving**, it needs **R550m of capital** on a balance sheet already carrying R4 850m of borrowings, and **its entire value depends on Axion itself owning the plant**. A PPA delivers less, later, but permanently, with no capital and no structuring risk.
- **Then reach a decision.** If the task gives you gearing or covenant constraints, they should drive the answer; if it gives you spare debt capacity and a clear ownership structure, the allowances should. An unconcluded comparison is an incomplete task.

Part 8 — Answer structure for the day

	Step	What to write
1	Name the option	Which of the four is the task actually about? If it names one, work only that part of this document.
2	Identify who owns and who claims	Ownership, bringing into use, own trade, production of income — all four in the same taxpayer. State the consequence for Axion.
3	Work each cost element to its section	Plant → s12B. Roads and fences → s12U if above 5MW. Connection → s12B, s13quin or s11(e). Land → nothing. Do not lump them together.
4	Apply the rate and compute	Show the calculation. 50/30/20 or 100%. No apportionment. Give the rand deduction and the tax at 27%.
5	Check the timing	Date brought into use against 30 June. Quantify the effect of slipping past year end.
6	Check utilisation	Is there taxable income to absorb it? If not, s20 caps the carry-forward.

	Step	What to write
		Compute it.
7	Deal with disposal	s8(4)(a) recoupment capped at allowances claimed; CGT at 21.6% on any excess over cost. s8(4)(nA) if s12BA was claimed.
8	Cover the other taxes briefly	VAT input and output. Carbon tax falls on Scope 1, so a renewable option saves little or none. Dividends tax on the SPV route.
9	State what you need	Use the “what to ask for” list at the end of the relevant part. Specific requests, not generic ones.
10	Conclude	Recommend. If the numbers are close, say so and decide on judgement — but reach a conclusion.

Five things that will cost you the task.

- **Claiming s12BA.** It expired on 28 February 2025. Say it has expired, then use it to quantify what was lost.
- **Putting the transmission line into s12U.** s12U is roads and fences only.
- **Assuming Axion gets the allowance.** If the plant sits in an SPV, or the partner owns it, or a producer owns it, Axion gets nothing but s11(a).
- **Apportioning s12B for part of a year.** It is not apportioned. s11(e) is.
- **Putting a carbon tax saving into the NPV.** Carbon tax falls on Scope 1; every renewable option here cuts Scope 2.

Part 9 — Tax consequences from the other pre-release documents

Parts 1 to 8 deal with Document 7 and the renewable options. Everything below arises from a different document in the pre-release, and is kept separate for the same reason: so that a task on one document can be answered from one place. Documents 1 and 2 are introductory and raise no separate tax consequence, beyond the point that Axion is a South African resident company and is therefore taxed on its worldwide income.

9.1 Document 3: board strategy day — R3–5bn capex, funding, African expansion

Legislation — what the Act says	Application to Axion — tax consequences
• s11(a), s24J — interest. Interest on borrowings is deductible where incurred in the production of income and not of a capital nature, accrued on a yield-to-maturity basis. • s23M limits interest owed to a connected creditor not subject to SA tax (Part 2.6). • s24I — foreign exchange. Exchange differences on a foreign currency debt or forward contract are included in or deducted from income as they arise, whether or not realised. • s9D — controlled foreign companies. Net income of a CFC (more than 50% of participation or voting rights held by SA residents) is imputed to the SA shareholder, subject to exemptions including the foreign business establishment exemption. • s6quat grants a credit for foreign taxes on foreign-sourced income, limited to the SA tax on that income. • s31 — transfer pricing. Cross-border transactions between connected persons must be on arm's length terms; the difference is adjusted and may be treated as a deemed dividend. • Dividends tax 20%, subject to treaty relief for non-resident shareholders. • [NOT VERIFIED — read s9D, s6quat, s31 and s24I before relying on the detail.]	• The feasibility model is the biggest tax point in this document. Document 3 defines initial feasibility using “incremental pre-tax cash flows” and a “pre-tax project NPV”. Capital allowances are a cash flow, and on Project X alone they are worth R128.25m over three years. A pre-tax NPV is acceptable as an initial screen, but the final decision stage must be post-tax, or the whole of Section A is ignored in the decision. • The same applies to the discount rate: the cost of debt must be taken after tax at $k(d) \times (1 - 27\%)$. Using a pre-tax NPV with an after-tax WACC, or the reverse, double counts or omits the shield. • The three funding options have different tax outcomes: • Additional debt → interest deductible under s24J. On R1bn at 11%, that is R110m a year, worth R29.7m of tax. Check s23M only if the lender is connected and not subject to SA tax. • Investment from existing shareholders → if equity, no deduction, and distributions carry dividends tax. If shareholder loans, the interest is deductible but s23M and s31 must both be considered — Ubuntu holds 35% and Horizon 30%. • A new strategic investor → if non-resident, dividends tax at 20% subject to treaty relief, and s31 applies to any funding it provides. • “Selected African markets” (Document 3, page 7) opens the cross-border set. If Axion invests through foreign subsidiaries: s9D may impute the CFC's net income to Axion; s6quat credits foreign tax; foreign withholding taxes apply to dividends, interest and management fees; and s31 governs intragroup funding and fees. [WAITING FOR INPUT]: whether expansion is by subsidiary, branch or joint venture, and in which countries. • s24I is likely live even without offshore expansion. Data centre plant is typically imported. Foreign currency payables and any hedges give rise to exchange differences taxed or deducted as they arise, creating volatility in taxable income that does not track accounting profit.

9.2 Document 4: ownership, the Employee & Empowerment Trust, and a new investor

Legislation — what the Act says	Application to Axion — tax consequences
• s8C — equity instruments acquired by virtue of employment. A gain on the vesting of a restricted equity instrument acquired by reason of employment is included in the employee's income — taxed at marginal rates, not as a capital gain. Vesting occurs when the restrictions lift. • Dividends on a restricted equity instrument may be taxed as income rather than qualifying for the s10(1)(k)(i) exemption, under the provisos to that section. • s11(IA) allows the employer a deduction for shares provided to employees under a broad-based or qualifying scheme. • s25B / the conduit principle. Amounts vested in a trust beneficiary are taxed in the beneficiary's hands; amounts retained are taxed in the trust. • s64F(1)(a) exempts dividends tax where the	• The Axion Employee & Empowerment Trust (10%) is the tax trigger in this document. [WAITING FOR INPUT]: the scheme rules — are the shares restricted, when do they vest, who are the beneficiaries, and is the trust vesting or discretionary? • If the shares were acquired by virtue of employment and are restricted, s8C applies on vesting: the gain is taxed as income in the employees' hands, and Axion carries PAYE withholding and IRP5 obligations at that point. This is a payroll and cash-flow event for Axion, not just a shareholder matter. • Worked example. Assume the trust holds shares with a base value of R80m that vest at a market value of R200m. The R120m gain is included in the participating employees' income under s8C — at a 45% marginal rate that is R54m of employees' tax, which Axion must withhold and pay over. A growth story that increases the value of Axion also increases this liability. • Dividends tax on the current register — the outcome differs by shareholder: • Ubuntu Infrastructure (Pty) Ltd, 35% → SA resident company →

Legislation — what the Act says	Application to Axion — tax consequences
beneficial owner is a South African resident company, subject to the declaration and undertaking. • s103(2) permits SARS to disallow the set-off of an assessed loss where a change of shareholding was effected solely or mainly to utilise that loss. • [NOT VERIFIED — read s8C, s11(IA), s25B and s103(2) before relying on the detail.]	exempt under s64F, with the declaration and undertaking. • Kabelo Moleke 18% and David Low 7% → individuals → 20% dividends tax withheld. On a R100m distribution that is R5m and R1.4m respectively. • Horizon Digital Infrastructure Fund, 30% → [WAITING FOR INPUT]: its legal form and tax residence. A non-resident may claim treaty relief; a partnership or CIS flows through to its investors. Do not assume it is exempt. • Employee & Empowerment Trust, 10% → the treatment depends on the trust deed and the s8C status of the shares. Dividends on restricted equity instruments may be taxed as income rather than exempt. • If a new strategic investor acquires an interest (Document 3): the share issue proceeds are capital, not gross income, and the issue costs are not deductible. Where the investor takes control of an entity carrying an assessed loss — most likely a project SPV under Route C — s103(2) becomes relevant, and commercial substance for the transaction must be documented.

9.3 Document 5: Metroloop, the undeveloped land, and the revenue streams

Legislation — what the Act says	Application to Axion — tax consequences
• Gross income (s1). Amounts received by or accrued to a resident, other than of a capital nature. Accrual arises when the taxpayer becomes unconditionally entitled to the amount. • s10(1)(k)(i) exempts dividends received from a South African resident company. • s24C allows a deduction for future expenditure to be incurred under a contract, where the income under that contract has already been received and the expenditure will be financed from it. The allowance is reversed in the following year. • s22(3)(a)(ii) — where a capital asset is applied as trading stock, it is brought into trading stock at market value. • Paragraph 12(2)(c), Eighth Schedule — a change of intention from capital asset to trading stock is a deemed disposal at market value, crystallising a capital gain to that date. Gains after that date are revenue. • s11(a) read with s23(g) — no deduction for expenditure not incurred in the production of income or not laid out for trade purposes. • Equity-accounted earnings are not gross income — only dividends actually received or accrued are. • [NOT VERIFIED — read s24C, s22(3) and paragraph 12(2) before relying on the detail.]	• Metroloop (Pty) Ltd — 40%, equity accounted. The share of profit recognised in Axion's accounts is not taxable; only dividends from Metroloop are, and as a dividend from an SA resident company it is exempt under s10(1)(k)(i). • So equity-accounted earnings are a permanent difference and a reconciling item in the IAS 12 effective tax rate note — they raise accounting profit without raising the tax charge. On disposal of the 40% interest, CGT at 21.6% applies on proceeds less base cost. • The undeveloped land is the sharpest point in this document, and the CFO has already flagged its accounting implications. The tax answer turns entirely on what management decides to do with it: • Held for Axion's own future data centre → remains a capital asset. No allowance on the land, ever. Any building later erected on it attracts s13quin at 5%. • Sold as it stands → CGT at 21.6% on proceeds less base cost. • Developed for resale, or subdivided and sold → a change of intention. Under paragraph 12(2)(c) there is a deemed disposal at market value on the date intention changes, crystallising the capital gain to that date at 21.6%; the land comes into trading stock at that market value under s22(3)(a)(ii); and all subsequent profit is revenue, taxed at 27%. • Worked example. Land with a base cost of R40m and a market value of R110m on the date plans change. Deemed disposal → gain R70m × 80% × 27% = R15.12m of CGT, payable although nothing has been sold. If it is later sold for R150m, the further R40m is revenue, taxed at 27% = R10.8m. Total R25.92m, against R23.76m had it simply been sold as a capital asset — and the CGT falls due far earlier. The decision about the site is a tax decision, not only an accounting one. • Holding costs while the site is undeveloped — rates, security, maintenance — are not deductible under s11(a) read with s23(g), because no trade is carried on in respect of the land and no income is produced from it. [WAITING FOR INPUT]: whether any costs have been claimed to date. • The revenue streams (colocation, power recharge, interconnection, ancillary) are gross income as Axion becomes unconditionally entitled. Contracts are invoiced monthly and Axion provides no customer financing, so accrual is straightforward and no s24J timing issue arises on receivables. • The power recharge is consideration for a standard-rated supply →

Legislation — what the Act says	Application to Axion — tax consequences
	output VAT at 15%, with input tax on the electricity purchased claimable in the same period. • Contracted capacity (40MW) exceeds utilised capacity (35MW) — customers contract before they use. Where a customer pays in advance or a take-or-pay minimum is billed ahead of use, the amount is gross income on receipt, even though the service has not been rendered. s24C may then allow a deduction for the future expenditure Axion must still incur under that contract. [WAITING FOR INPUT]: the billing terms on contracted-but-unutilised capacity. • Borrowings grew from R3 150m to R4 850m and finance costs to R375m. Deductible under s24J. s23M is not in point for the SA bank syndicate — see Part 2.6.

9.4 Document 6: JHB4 project funding and delivery

Legislation — what the Act says	Application to Axion — tax consequences
• s11A — pre-trade expenditure. Expenditure incurred before the commencement of a trade, which would have been deductible had the trade been carried on, is deductible in the year that trade commences, and only against income from that trade. The excess is carried forward. • s24J — interest accrues and is deductible as incurred; interest received or accrued is included in income on the same basis. • Interest income and interest expense are not netted for tax. Each is tested separately: income is included in gross income, expenditure must satisfy s11(a). • s13quin — 5% a year, but only once the building is used by the taxpayer. • s11(e) — wear and tear on the plant inside the facility, apportioned, per IN47. • VAT s16(3) / s17 — input tax is claimable on goods and services acquired for the purpose of making taxable supplies, whether or not supplies have yet been made. • [NOT VERIFIED — read s11A and confirm its interaction with an existing trade before relying on it.]	• The central judgement: is JHB4 a new trade, or an expansion of the existing one? Axion already operates five data centres. If JHB4 is an expansion of the same trade, expenditure and interest are deductible as incurred, against all of Axion's income. If it is treated as a separate trade, s11A defers the deduction to the year JHB4 commences trading and ring-fences it against JHB4's own income. The difference is years of cash tax. Raise it as the question it is, and argue the expansion view on the facts — same customers, same services, same management. • The interest asymmetry is the sharp technical point in this document. Undeployed drawdowns sit on short-term deposit. That deposit interest is gross income, taxable in full as it accrues. The facility interest is a deduction that may be deferred under s11A. So Axion can be taxed on the income while the matching expense waits — the opposite of the accounting treatment. • The scorecard measure makes this concrete. "Net interest not capitalised" is defined as interest expense not capitalised less interest income on drawn but undeployed funds. For tax these are never netted. Do not read the scorecard figure as a taxable amount. • Worked example. Assume R400m drawn ahead of requirement for 6 months, deposit rate 7%, facility rate 10.5%. • Deposit interest earned = $R400m \times 7\% \times 6/12 = R14.0m$ — taxable in full, tax R3.78m • Facility interest on that R400m = $R400m \times 10.5\% \times 6/12 = R21.0m$ — deductible, or deferred under s11A • Net economic cost R7.0m; but if the deduction is deferred, Axion pays R3.78m of tax now on the income side alone. Drawing ahead of requirement costs more after tax than the R7.0m the scorecard shows. That strengthens the commercial case for drawdown discipline — a tax argument supporting an operational control. • IAS 23 against tax. For accounting, borrowing costs are capitalised into JHB4 (net of investment income on the temporary investment of those funds). For tax, the interest is deducted or deferred and the deposit interest is taxed currently. The two bases diverge → a temporary difference and deferred tax (Part 2.9). • s13quin on the building. JHB4 is new and unused, so 5% a year once it is used in Axion's trade. But Document 6 says it will be brought into service in phases as customer capacity is contracted, and s13quin requires use. [WAITING FOR INPUT]: the phasing plan, and whether the phases are physically distinct parts of the building — the allowance may begin phase by phase rather than on the whole building at first use. • The grid connection timing "remains critical" (Document 6). For tax that is not just a delivery risk: no allowance arises at all until the asset is brought into use. A slip past 30 June moves an entire year's deduction. • VAT is a real cash item on a R1.2bn facility. Input tax on

Legislation — what the Act says	Application to Axion — tax consequences
	construction is claimable now, even though JHB4 makes no supplies yet, because it is acquired for the purpose of making taxable supplies. At 15% on, say, R1bn of construction spend, that is R150m of input tax — a funding consideration for the drawdown profile in its own right. • s23M does not apply to this facility — the lenders are a syndicate of South African banks, subject to SA tax and not in a controlling relationship with Axion.

Verification status

Item	Status	Source
s12B, s12BA and its expiry, s12U, s12L to 2030, s20, s12C, s13quin	Verified	Practitioner commentary; SARS Guide IT39, IN 95
s8(4)(nA) recoupment and the 1 March 2026 date	Verified	Practitioner commentary
Corporate 27%, dividends tax 20%, CGT inclusion 80% (effective 21.6%), VAT 15%	Verified — unchanged in the February 2026 Budget	Practitioner commentary
s23M percentage and controlling relationship; s24H; s12N; s11(o) detail	Read the sections	—
s11A pre-trade expenditure and its interaction with an existing trade	Read the section — central to Part 9.4	—
s8C, s11(lA), s25B, s103(2)	Read the sections — Part 9.2	—
s24C, s22(3)(a)(ii), paragraph 12(2)(c) Eighth Schedule	Read the sections — Part 9.3	—
s9D, s6quat, s31, s24l	Read the sections — Part 9.1	—
Carbon tax threshold and rate; IN 47 write-off periods; IAS 12 paragraph references	Look them up before citing	—

- **Read the source the CFO pointed you at** — the SARS Guide on the Allowances and Deductions Relating to Assets Used in the Generation of Electricity, publication IT39.
- **Every rand figure in this document is assumed.** The pre-release gives no capacity, cost, counterparty or structure for any renewable option. The examples exist so the method is fluent; the figures arrive on the day.

Prepared for APC 2026 September Qualifying Exam preparation. Axion Digital Infrastructure (Pty) Ltd is a fictitious entity created for assessment purposes.